

SpaceX Is Down 40% — How Low Can It Go?

Podcast: prof G markets

AI Executive Summary

Core Thesis The episode explores the growing tension between hyper-growth technology valuations and the emerging regulatory and fundamental realities facing the AI era. Through a deep dive into SpaceX's declining valuation and New York's moratorium on data centers, the program argues that the period of unchecked enthusiasm for "AI infrastructure" is being tempered by significant supply-side pressures (insider selling and competition), fundamental valuation discrepancies, and increasing political resistance driven by the environmental and economic costs of AI expansion.

Key Arguments & Data

- * **SpaceX Valuation Volatility:**
- * **Market Decline:** SpaceX stock has fallen below its \$135 IPO price to an all-time low of \$132.75, marking a 40% drop from its peak and erasing over \$1 trillion in value.
- * **Valuation Discrepancy:** While the Wall Street average price target is significantly higher at \$242 (with some analysts targeting \$800), Morningstar analyst Nicholas Owens maintains a weighted fair value of just \$62 per share based on probability-weighted scenarios.
- * **Supply Pressures:** The stock faces imminent downward pressure from a small float (currently ~4%) and upcoming "supply" hits, including an additional 7% of the company being eligible for sale by insiders following earnings in August.
- * **Structural Risks:** Potential long-term threats to the Starlink business model include a "capacity glut" caused by motivated competitors and uncertainty regarding the actual ROI on massive AI infrastructure investments.

- **AI Infrastructure & Regulatory Backlash:**

- **New York Moratorium:** Governor Kathy Hochul has implemented a one-year pause on permits for large-scale AI data centers to evaluate impacts on the power grid, water usage, and electricity rates.
- **Public Sentiment:** A Gallup poll indicates that 70% of Americans oppose the construction of data centers within their local communities.

- **The "Political Input" Theory:** Political strategist Bradley Tusk argues that regulation is driven by politicians responding to voters' concerns over "negative externalities," such as rising electricity bills (noting some areas saw 30–40% increases) and water consumption.
- **Bipartisan Regulation:** Regulatory movement is not strictly partisan; both red and blue states are increasingly looking at ways to regulate the physical footprint of AI to protect local utilities and resources.

- **Market Vitals:**

- **Inflation & Yields:** Recent Producer Price Index (PPI) readings came in cooler than expected, contributing to a rise in major indices and a fall in Treasury yields.
- **Apple Performance:** Apple stock reached an all-time high following the announcement that it will integrate Alibaba's Qwen model into its "Apple Intelligence" for the Chinese market.

Actionable Takeaways

- * **For Equity Investors:** Exercise skepticism toward high-growth tech stocks using "multiple-based" price targets (e.g., 100x earnings projections). Instead, look for valuation models that use discounted cash flow (DCF) and explicit probability weighting to account for the high risk of failure in speculative AI ventures.
- * **For Macro Strategists:** Monitor the "supply vs. demand" dynamics in the tech sector. Specifically, track upcoming lock-up expirations and insider selling windows for major recent IPOs, as these can trigger significant downward price volatility regardless of company fundamentals.
- * **For Infrastructure & Energy Analysts:** Closely watch the implementation of New York's data center moratorium. The success or failure of "closed-loop" water systems and independent power solutions will determine whether the AI boom can continue to scale without triggering more widespread state-level regulatory bans.

Full Transcript

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after announcing it will integrate Alibaba's Qwen model into Apple intelligence in China. OK, what else is happening? The largest IPO in history is officially underwater. Yesterday, SpaceX fell below its 135 IPO price for the first time, touching an all-time low of 132.75. The stock has

now dropped 40% from its peak, wiping away more than a trillion dollars in value. That downfall comes just one month after a debut that raised a record 86 billion and briefly made Elon Musk the world's first trillionaire. The new low also comes just one week after SpaceX joined the Nasdaq 100. That means that the index fund and the millions of Americans whose retirement accounts track it bought in right before a 10% decline. It also means, more importantly, my SpaceX prediction is on its way to becoming reality. On June 10th, I said this. Here is my prediction.

for what will happen tomorrow. As soon as it hits the market, SpaceX stock will immediately explode 25%. However, my other prediction is that within six months, probably sooner, SpaceX stock will be cut in half. Why? Because the valuation makes no sense whatsoever. SpaceX's decline. We're speaking with Nicholas Owens, equity analyst at Morningstar. One of the few analysts who has been bearish on this stock. Nicholas, thank you for joining us on the show. Just as a reminder for our audience, you published your SpaceX research before the IPO. You valued the company at 62 per share. So even lower than where we are now, of course, just walk us through your valuation again as a reminder. The sixty two dollars is the result of three scenarios, you know, a bull case, a medium case and a bear case and some probabilities that we assigned to those.

Only in the bull case do you get into the 130, 150, 160 range. The problem is that depends on so many things going right that we think there's only a 7% chance of that happening. So that's where you get to a weighted average fair value of 62. The medium case on its own is about 71 a share. So I think we're in the same camp, if you will, thinking about Havzies, valuation-wise. Just looking at what's happened so far, so the stock, I mean, obviously it popped immediately as I thought it would. It continued to rise and now it's coming down. I mean, it's been pretty quick the way this has happened, especially considering the fact that it joined the Nasdaq 100 so recently. What do you make of how quickly it has started to drop back down? I think it's a really good point. I think there's two buckets that I would want to point out there. First of all, Maybe working backwards. It's quick. I think partly because the the float is still so small only four ish percent of the company. But then on top of that I think it's and and I go back and forth between thinking about the fundamentals like what do you have to believe about AI?

data centers in space etc or what the margins on that might be in ten years and then you go to the Just the market the supply and demand for the shares themselves, right? So both of those should drive the price So I think here you have In the next couple of weeks, I think they're supposed to announce earnings August something, August 8th or 9th. And two days after that, a whole another 7% of the company can be sold by insiders. So that's supply. And then I wanted to comment on the NASDAQ 100 inclusion, which is notable because it was a result of some changes in their methodology and so forth. But I think actually not even that huge a deal in terms of demand.

I googled what's the market cap of all the funds attract in Nasdaq 100 and something like 800 billion or if it's 800 billion and they're waiting it at 1%, that's 8 billion of demand that would have been a result of that inclusion, which does not offset if you look at the market cap and even with the float, the potential supply of someone who bought it at 135 and was selling it at 156 or whatever in the last couple of weeks. One of the crucial things you mentioned there is the fact that we haven't even gotten to the lock up expirations yet. I mean, that was what I was kind of waiting for is as soon as people can sell, my assumption is there are a lot of people who are very rich on paper right now. As soon as those lock ups expire, I assume they're going to want to sell and maybe go out and buy a boat or buy a house, whatever they want to do. That hasn't even happened yet. And yet.

the stock is still declining, surely that means it can only keep going down. What do you think will happen? I think that seems likely. So I go back then to the fundamentals. What are maybe some changes in what people believe about what drives the value of this stock? There's certainly the Starlink business, which is actually kind of the gem right now. But you have motivated competitors. making some advances in their launch and their technology. Ironically, I think that the... The economics of this business may resemble the terrestrial telecoms business where Morningstar would call it an efficient scale source of moat, which is problematic because the more players there are, the worse the economics get. So SpaceX is kind of king of the hill there, and having a eager competitor launching a bunch of satellites looks like a capacity.

glut could happen and so pricing doesn't look as good. So there's maybe some overhang even on the Starling case. In terms of AI, there's so many assumptions you have to make to get to these upside scenarios. And the payoff there is in, let's call it decades. And there's a couple of news items I would point to. Meta starting to rent out capacity. Open AI. probably delaying their IPO. Those are things that would make people question the thesis of what is the ROI on all these investments that have been made. And SpaceX today looks a lot like an infrastructure play and also an LLM that is not in the top ranks, shall we say. So, lots to question.

And when you look at some of the research that we've seen from some of the other Wall Street analysts to be clear, 27 of the 31 analysts who cover this stock have recommended it as a buy. And the average price target is shockingly 242 per share. One analyst gave it a price target of 800 per share, which would value it at 10 trillion in market cap, which would make it by far the most valuable company in the world, like Double, Nvidia, Double. apple. I mean, it's just nuts. What are your reactions to some of the other price targets that we've seen, given the fact that you rate it at 62? I would sort of like to go back to first principles and I would say things like the market works on disagreement. And it's really good that investors have, let's say, different sources of information about what do you have to believe to buy this or that version of what this stock might be worth.

I think there's also a methodological difference. I have a discounted cash flow model. We have forecast out to 2045. We're discounting those today. So we're saying these shares are fundamentally worth 62 today. Again, probability weighted. A lot of those analyses that you're referring to, they're doing things like, oh, let's get to 2027, 2028, when they might be making money a little bit. And then we're going to put a 100x multiple or something on that number. And they're doing some of the parts with Starlink and AI and so forth. But that is a different methodology that gets you. And again, I think when you're doing a multiple, you're baking in assumptions that are not necessarily being stripped out. You're making growth rate assumptions and discount rate assumptions.

that we always are very explicit about at Morningstar. So I think that's as much of a compare and contrast as I'd be comfortable doing. Fair enough.

It's a polite way of putting it. Just looking ahead for the rest of the year. I mean, we've got the supply of the new shares coming down the pipeline. We've got, I mean, as you mentioned, right after the Q2 earnings report, lots more supply because of the lockup, expirations. But then it's going to continue for the rest of the year. lots more investors will be able to sell. Given all the information at our disposal, do you have any thoughts on how the stock will perform over the course of the year? Honestly, I think you could go either way, and I'll tell you why. So with everything we've said, there's certainly a lot of items in the negative column in terms of supply of shares and small changes in people's sentiment can make a bigger move, again, given the smaller float.

You could say a positive argument is the float will actually increase with each of these with each of these lockups expiring and depending on what investors appetite is You know the price could find a new a new direction and and I'll say too I expect a quarterly report to be glorious You know we have we have pretty good growth rates for even for 2026 and I think if they did it Kind of according to what I think of as the classical IPO playbook they've got two quarters of numbers pretty much in the bag that they will be happy to share right and you I'm looking mostly at those those rental agreements with with Anthropic and Google and the other one that are pretty nice chunks of revenue at low marginal cost They're still spending a lot etc. But anyway, I think you can you'll see some nice um comps you know and then it might be uh people might be more comfortable thinking oh you know AI might be uh whatever cash flow neutral in 2033 or whatever the story ends up being um so i'm not i'm not i'm not excluding the possibility that there will be some good news there and it wouldn't take much in terms of let's say the collective appetite, if the story turns positive again. So I wouldn't sit here and say it's totally gonna crater. That said, there has to be more demand than supply for this doc to go up. It's, again, first principles. All right. Nicholas Owens, equity analyst at Morningstar, very respectfully bearish, which we always appreciate. Thanks again for joining us, Nicholas. Thanks so much. Off to the break.

New York hits pause on data centers. And for even more markets insights, you can subscribe to my weekly newsletter simply put at simply put dot profgmedia.com. There's a civil war happening in the Democratic Party, and

if there's one place that that's playing out most clearly, it's in Michigan. A crucial Senate primary battle in Michigan that could determine control of Congress in November. Congresswoman Hailey Stevens and Abdul El Sayed, a progressive Democrat and a moderate Democrat. In the end, it all comes down to the dreaded E-word, electability. But in Michigan, one candidate is trying to turn the electability concept on its head. If we think that

Voters walk around asking, where do I sit on some theoretical left-right spectrum? Then in theory, the bulk of the voters are somewhere in the middle. The problem, though, is that that model hasn't really accurately predicted our politics for a very long time. If Michiganders wanted moderate, why would they have elected Donald Trump twice? Dr. Abdul El Sayed is making the progressive case for America first. And he's trying to settle the Democrats' ideological battle in the process. This is about the many versus the money. I'm Estette Herrington. And this is America Actually. Catch us every Saturday on YouTube or wherever you get your podcast. It all started with Call Me Maybe. Over 10 years ago, we created Switched on Pop to listen closer, uncovering the song craft behind even the glossiest of pop hits. Since then, we've released almost 500 episodes. We've defined the sounds of our modern soundtrack and interviewed hundreds of musicians and music insiders, including the singer of Call Me Maybe herself.

Carly Rae Jepsen. I'm musicologist Nate Sloan, and I'm songwriter Charlie Harding. And on July 14th, Switched On Pop is embarking on a new chapter. We're stepping out from behind our microphones and in front of the camera to stream our podcast on Netflix. Now, you'll still be able to listen to the show anywhere you get podcasts, but now you'll be able to watch us each week, breaking down the sounds of the moment, digging into musical menu show with your favorite artists. and offering questionable dad jokes as always. We're kicking off our Netflix debut with a four part series on the art of the song with help from artists, producers, and songwriters like Aaron Destner, Audrey Hobart, Trevor Horne, Cypress Hill, and Taylor Parks. Stream switched on pop on Netflix and anywhere you get podcasts every Tuesday starting on July 14th. One, two, three.

I'm stand-up comedian John Marco Sarezi. And I'm actor-penis model Russell Daniels. The Downside is our podcast where we bring on guests to talk about how miserable their lives are. Because let's face it, things are not getting better. Every episode, we talk about what's wrong with our lives, our guest's lives, the world, but in a fun way. Bottom line is you're going to walk away feeling better about your life. We've had so many cool guests. Caleb Huron. Busy Phillips. Stavros Halkias. Laverne Cox. Hassan Piker. Alana Glazer. I promise you're going to have a good time. Now on the Vox Media Podcast Network, this is the downside. We're back with Prof. G. Markets. New York just issued the country's first statewide data center moratorium. Governor Kathy Hockel signed an executive order on Tuesday that pauses state permits for the largest AI data centers for one year. During that pause, the state will write rules to protect the environment, the grid and rate payers. The move comes amid growing opposition to data centers nationwide. A recent Gallup poll found that seven in 10 Americans oppose constructing data centers in their own community and local resistance has already delayed or blocked nearly 130 billion worth of projects in the first quarter of 2026. The big question now is, will other states follow New York's lead?

Joining us to discuss this, we're speaking with Bradley Tusk, venture capitalist political strategist and writer. Bradley, good to see you. Thank you for joining us. That is my first question. Is this moratorium the first of many? Yes. Now, I don't think it's sort of an absolute yes, but... Let's work off the basic thesis which pretty much defines everything that I do, which is that every policy output is the result of a political input. Every politician makes every decision solely based on one of the next election or nothing else. If you assume that's the case and 34 years in politics has taught me that that's the case, then you look at the unpopularity of AI across the board, then of course, politicians are going to pass bills and regulations and sign executive orders that come off as anti-AI. And we've seen lots of stuff happen in this past legislative session which wrapped up.

but about a month ago kind of across the country, where new laws regulating chatbots, new laws regulating AI use in insurance, new laws regulating AI use in healthcare, in hiring data centers. So there's a lot of areas of it because politicians want to seem responsive to the voters. And

data centers are particularly controversial. However, I also do think when you read the governor's executive order, it does kind of point towards a resolution of all of this that I think is pretty doable. And I will say that Kathy Hockel for a Democrat is really pro-business. So when she did this, that's an indication of one, how powerful this issue is. She is also up for reelection this fall and she's not stupid by any means politically either. But.

I think that she did sort of lay some breadcrumbs as to how this all works out. And to me, really, there are kind of three things that if data centers say, hey, we can do these things, most of this is pretty resolvable. So one is energy. And the thing that made that data center so unpopular is that it Initially, the ones in Northern Virginia in Georgia were just plugging into the grid. And by doing that, because of their vast energy consumption, people's electricity bills are going up 30, 40%. And they're saying, why am I subsidizing Sam Altman? Why am I subsidizing Anthropic? And of course, they shouldn't do that. If data centers are required to either bring their own power or pay for their own costs and not impose those negative externalities on anyone else, that solves a lot of it. So that's number one.

Number two is water usage. And even though it doesn't get as much attention, data centers, when you have a system that big, requires a lot of water for cooling, there are things called a closed-loop system that are really not that hard to install. And a data center can be built in a way that it brings in its own water, it circulates it, refrigerates it, it meets its own needs, and it's not drawing from the water utility itself or the risk of it then putting polluted water back into it like you just saw with the metadata center recently. And the third would be a relationship with the data center itself is a benefit to communities. One challenge the data centers have is they don't create a lot of jobs. They create some construction jobs to some of the building trades unions like them, and that's great. But long-term permanent jobs, it's really not all that many. So if you're going to be in a community, how can you help it? Are you going to help pay for energy grid improvements? Could you pay for some sort of property tax rebate? Could you pay for libraries and parks? And I think the good data center builders and hyperscalers are open to these ideas.

And so I do think there's a solution here, but it's not just gonna be, hey, AI is a national security issue. So we're just gonna put these wherever we want and everyone just has to suck up and bear the cost of it. Something I can't quite tell from this legislation is how genuine it is. I think it's certainly an element of this, which is like she wants, she's running for re-election. It is more popular to be anti-AI today just based on the numbers, which makes me think, okay, maybe, I mean, it's unclear if this is actually an anti-AI policy or if this is just pressing pause pretending to be anti-AI policy. And then it's actually something else. I mean, where is it?

I think you may be giving politicians too much credit in your question itself there, right? Which is you're almost assuming there's substance, there's politics and where's the distinction. I don't think there is a distinction, right? It's politics and then substance gets impacted by the politics of it. But I think the reason that the governor did the executive order as opposed to signing the legislation, what's a sort of not further the notion that data centers in and of itself are bad things. We do need data centers, right? You can't have a country that who's a economy is so reliant on AI who's international security kind of rates around AI with China and then not have the ability to actually power AI. So clearly we need data centers, but needing them and then imposing costs on voters and consumers are two different things. And I think that they are reconcilable. So I think what Governor Hockel was trying to do is not in any way imperil her reelection, babe, because she's a politician first and I don't want to pretend that she's not. But within the realm of politicians, because I do work.

with her enough to know her reasonably well. She is pretty pro-business. She is pretty reasonable. She's pretty moderate. She's the furthest thing from a DSA type Democrat. And so I think she was trying to split the baby a little bit. Where do you think this goes from here in terms of data center regulation? Because if she's the pro-business governor who is putting a moratorium on data centers, it makes me think that we're going to see even stricter anti-data center regulation going forward. So earlier this year, Vermont and Maine did both pass moratoriums that were vetoed by their governors. Now the governor of Vermont happens to be a Republican. The governor of Maine is Janet Mills, who's a pretty moderate Democrat, like

Huckle. But in Oregon, a Washington state, are we going to start to see the most left-wing states potentially do this? You know, absolutely.

Here's one thing that's really important to understand about the politics and regulation of AI. It's really not that partisan, meaning that when you look at the different types of AI regulation and legislation that have been enacted over the past year, it's not just the left. It's red states and it's blue states. It's rural states and it's urban states. And so fundamentally, the polling and unpopularity of AI kind of cuts across all of the normal partisan lines and ideological spectrums and everything else. And so I think politicians on all sides are certainly concerned about this. Final question. A very important politician bashed this decision. President Trump said, quote, one of the biggest driving forces in the future for jobs are data centers. New York State has made a terrible decision. So he has come out publicly pro data centers. What does that do to his political standing? I'm not quite sure what he means by one of the most important sources of jobs because data centers themselves don't create a lot of jobs. I assume what he means is that the AI economy powered by data centers needs data centers and he's right about that. And he's the one to put together the whole Stargate program that was open AI committing 1.4 trillion in CapEx for data centers. So I guess he feels some ownership of it and then in terms of his own personal finances, you never know what this guy won't wear another.

But even he clearly has started to lean into the regulation of AI. He had an executive order a little over a month ago that asked the hyperscalers to give them, beating the US government, advanced copies of frontier, new frontier models like Methos from Claude before they're publicly released. And so even Trump, I think, understands which way the wind is blowing. And so to a certain extent, he's probably trying to have his cake needed too, but also it's quite... possibility doesn't even really understand what data centers are. And someone said something to him and then he fired off a post and didn't even realize what it was. Yeah, I'm probably giving him too much credit to say there's any strategy to it. Yeah, I think the recurring theme of this interview has been you keep giving politicians way too much credit. Okay, I'll stop doing that going forward. Bradley does is a venture capitalist political strategist and writer.

Bradley, really appreciate your time. Thank you. Have a good night, fix it. Exciting news from the Treasury Department. The United States will start producing new 1 gold coins emblazoned with the face of President Donald Trump. That makes Trump the first sitting U.S. president to appear on our national currency, but He will join a long line of other international leaders who featured on their currency while in office, including but not limited to Saddam Hussein, Gaddafi and Mao Zedong. So, you know, he's a good company. According to Treasury Secretary Scott Besant, the Trump-ified coin, quote, celebrates the strength of American values. We're not sure what values he's referring to specifically, but they may include idolatry, greed, corruption, hubris. After all, these are the hallmarks of any self idolizing political leader, especially ones who have literally flirted with the label of dictator. And so it does appear that we are approaching, I don't know, the end times.

And it's not just the gold coins. It is not just the gold statues. It's also the billions of dollars that were stolen from households via a literal Ponzi scheme called Trump coin. It's also the dozens of children who were sexually abused by his confident Jeffrey Epstein and all of the other young women who were clearly exploited, if not directly by Trump, then certainly indirectly through his social circles. It's also the fact that all of this was covered up. by an administration that has systematically rewarded sycophancy and punished integrity. And if you don't believe me on that, just search up the name Margaret Ryan and you will understand what I mean. It's also the 5.6 million that he just paid this week.

as settlement in a lawsuit that literally found him liable of sexual abuse by a jury of his peers. It's the bombing of other nations with no real contingency plan. It's the accidentally murdering 120 children in a drone strike and then never actually acknowledging why or how that happened. It's the pardoning criminals and the threatening allies and then suggesting that we should invade them. It's a lot. And so what better way to commemorate this individual than to enshrine him on the legal tender of the United States. Let's put him in the ranks of George Washington and Benjamin Franklin and Abraham Lincoln. Now, you might say that I have Trump derangement syndrome. You might say I'm, I don't know, brainwashed by the media. But anyone with two eyes, a brain and a basic understanding of history knows

exactly what's happening here, and that is this is what third world countries do. And if you cannot acknowledge that, or you feel a need to justify it or explain it away or downplay it by any measure, then dare I say it, you have been brainwashed yourself.

This episode was produced by Claire Miller and Allison Weiss and engineered by Benjamin Spencer. Our video editor is Brad Williams. Our research team is Dan Chalon, Kristen O'Donoghue, and Mia Silverio. And our social producer is Jake McPherson. Thank you for listening to Prof. G Markets from Prof. G Media. If you like what you heard, give us a follow. I'm Ed Elson, and tune in tomorrow for a conversation with Mike Novogratz.